for him to purchase a car, someone with a good credit rating would have to cosign for him. After hearing this news, Devin relaxed. "I'll just get Rhonda to cosign for me," he thought.

Rhonda was hesitant when Devin sought her help. She knew that cosigning for someone meant being responsible for the loan if Devin stopped paying. But Devin assured her that he would make all his payments on time. Rhonda finally agreed, telling herself that she was being selfish by not helping out her best friend. She signed the loan papers and received a "cosigner's notice" (required under federal law) that explained her obligations:

- You are being asked to guarantee this debt. Think carefully before you do. If the borrower does not pay the debt, you will have to do so. Be sure you can afford to pay if you have to, and that you want to accept this responsibility.
- You may have to pay up to the full amount of the debt if the borrower does not pay. You may also have to pay late fees or collection costs, which increase this amount.
- The creditor may be able to collect this debt from you without first trying to collect from the borrower (depending on which state you live in, this rule may not apply). The creditor can use the same collection methods against you that can be used against the borrower, such as suing you, garnishing your wages, etc. If this debt is ever in default, that fact may become a part of your credit record.
- This notice is not the contract that makes you liable for the debt.

Rhonda skimmed this notice quickly, but didn't give it much thought since she was convinced that cosigning would